Broadcom Inc. (AVGO)

Fundamental Analysis & Investment Thesis Refresh

18 October 2026 · Refresh / Re-underwrite · Institutional equity research

Recommendation	Conviction	Reference price	Research value
ADD	**8 / 10**	**$328.75**	**$425**

Investment conclusion

Broadcom’s operating thesis is stronger than it was at the prior underwriting: Q3 FY2026 delivered record revenue, $13.7B of free cash flow, approximately $16.7B of AI semiconductor revenue and a visible next-quarter AI ramp. The stock’s decline into the high-$320s therefore looks more like a valuation and financing-risk reset than a demonstrated loss of demand. The counterpoint is that the AI revenue framework is an expectation, not contracted backlog, and customer funding and concentration risk deserve a larger discount.

Portfolio context

Item	Export 63	Decision
Position	117 shares; $38,808.90 market value	Retain and build gradually.
Weight	2.2455%	Stage toward approximately 3%; no open-ended increase.
Cost basis	$43,750.40; average approximately $373.93	Do not anchor on cost.
Fair value	$650 workbook reference	Upside reference, not base DCF.

What changed since the previous underwriting

Item	Updated assessment	Effect
AI demand	Q3 AI semiconductor revenue about $16.7B; FY2026 framework about $58B.	Positive
Funding risk	Management says capital availability, not memory, is a major AI constraint.	Higher discount
Valuation	Base DCF $425; bull $650; bear $210.	Conditional upside

Business quality and moat

Broadcom combines mission-critical semiconductor IP with infrastructure software. In AI, its custom XPU, Ethernet, optical interconnect and SerDes portfolio participates across the data-center architecture. VMware, mainframe, cybersecurity and automation add recurring revenue and switching costs. The moat is reinforced by long qualification cycles, customer co-design, embedded workflows and the economic cost of failure.

Earnings and cash flow

Metric	Latest verified data	Interpretation
Q3 FY2026 revenue	$29.6B	Record result.
AI semiconductor revenue	Approximately $16.7B, +221% YoY	Principal earnings driver.
Q3 FCF	$13.7B, about 46% of revenue	Exceptional conversion; do not blindly annualize.
Infrastructure software revenue	Approximately $8.8B, +29% YoY	Diversifies the semiconductor cycle.

Valuation: DCF and reverse DCF

Base DCF: $425 per share. The model uses $40B normalized starting FCF, 25% five-year FCF CAGR, 8.5% WACC, 3.0% terminal growth and approximately 4.95B diluted shares. The model intentionally separates normalized cash generation from Broadcom's non-GAAP presentation and treats SBC and acquisition amortization as economically relevant.

Reverse DCF: at $328.75, the market broadly implies a high-teens to low-20s five-year FCF CAGR under the same discount framework. That is demanding but achievable if the $115B FY2027 AI framework becomes revenue and cash. It is not a margin-of-safety valuation if customer funding or capex weakens.

Cross-check	Output	Read-through
Workbook fair value	$650	Likely assumes faster AI monetization and/or higher normalized FCF.
Research base DCF	$425	Preferred operating valuation.
PEG	Approximately 1.3–1.6 on 25–30% growth	Acceptable only if growth persists and software margins hold.
Dividend yield	Approximately 0.8%	Total return depends on FCF growth, not income.

Scenarios

Scenario	Value	Probability	Core assumption
Bull	$650	25%	AI reaches/exceeds $115B FY2027; normalized FCF exceeds $55B.
Base	$425	55%	AI and networking compound; growth normalizes; software remains durable.
Bear	$210	20%	Funding stress, customer concentration, competition or software weakness compresses growth.

Probability-weighted value: approximately $422. This supports staged buying, not a full-size allocation based on the workbook fair-value number alone.

Checkpoints and thesis-break conditions

Upcoming checkpoints

• Next earnings: revenue and AI semiconductor revenue versus the implied ramp; require cash-flow conversion, not only guidance.

• AI customer quality: firm orders, shipment timing, recognized revenue and acceptable margins.

• Infrastructure software: VMware retention, bookings, private-cloud adoption, pricing and operating leverage.

• Capital intensity and balance sheet: capex, working capital, diluted share count, acquisition spending and GAAP versus non-GAAP FCF.

• Market structure: credit spreads, hyperscaler capex, AI customer funding and whether capital availability becomes the binding constraint.

Explicit thesis-break conditions

• AI semiconductor revenue or guidance declines for two consecutive quarters without a clear timing explanation.

• Major customer orders are delayed, cancelled or financing-dependent.

• Normalized FCF margins fall materially while revenue growth slows.

• Infrastructure software retention or pricing deteriorates for two quarters.

• Custom-silicon share is lost to internal or competing designs.

• Leverage rises because capital returns or acquisitions outrun durable cash flow.

A single earnings miss, sector selloff or AI-financing headline is a review trigger—not an automatic exit.

Conclusion

Broadcom remains one of the portfolio’s strongest long-duration growth franchises. The operating evidence supports the thesis; the market’s concern is whether the next phase of AI infrastructure can be financed and monetized at the pace investors now expect. At $328.75, the risk/reward is favorable enough for a staged ADD toward approximately 3%, with 8/10 conviction, but the next underwriting should be driven by cash realization, customer quality and software durability—not by the headline AI revenue framework alone.

Sources: Broadcom Q3 FY2026 results release; Broadcom Q3 FY2026 company overview; SEC filings; Reuters, October 12, 2026 CEO comments. Portfolio holdings, weight, quantity and cost basis: retirement-portfolio-63.xlsx. Prepared October 18, 2026. Research does not authorize a trade or alter CIO-controlled status.